

How can we identify and attempt to manage the risks around contracting for outcomes?

As pointed out in the Types of Contracting for Outcomes and Outputs Tool (E3), there are four options for contracting or delegating for outcomes or outputs: contracting for outputs only; contracting for outputs plus controllable indicators; contracting for outputs and controllable indicators plus ‘managing for outcomes’; and contracting for high-level outcomes even though these may not be controllable. (See How an Agency, Provider, Policy, Organization or Initiative Can Prove it is Managing For Outcomes, Not Only Outputs Tool (E5)).

Traditionally, contracting has focused just on outputs, since output measures are always controllable indicators. When an output indicator occurs, it’s clear the agency, provider, organization, or initiative is responsible because it is controllable.

However, with not-necessarily controllable outcomes, this link breaks down. Simply measuring a high-level outcome does not prove an initiative caused it, as external factors may play a role.

This Contracting For Outcomes Risks Checklist (E4) highlights risks in contracting for such outcomes. These can include situations where suppliers/providers are constrained from using strategies that are the most effective to improve outcomes because of pushback from affected stakeholders, attempts to game outcome measures, and reliability versus validity trade-offs. Contracting often favors reliability (getting the same measures over time) over validity (whether you are actually measuring something) to avoid contested results.

Where these risks cannot be managed in contracting for outcomes, it is better to use one of the other contracting options in (E4). The third option—contracting for outputs and higher-level controllable indicators, plus managing for outcomes—is often a good compromise.